RiskLens AI Investment Memo
Date: 2026-06-13
Company: Synthetic Distressed Co.
Model version: risklens-xgb-v1.0

Executive View
Risk tier: LOW
Risk score: 0.3/100
Estimated bankruptcy probability: 0.3%
Recommendation: Proceed with standard diligence; monitor model-identified watch items.

Model Context
ROC-AUC: 0.9344
PR-AUC: 0.6349
Recall: 0.4747

Primary Risk Drivers
- Working capital: Working capital increases risk for this company. Contribution=0.006
- Operating expenses / short-term liabilities: Operating expenses / short-term liabilities increases risk for this company. Contribution=0.003
- Logarithm of total assets: Logarithm of total assets increases risk for this company. Contribution=0.003
- EBITDA / total assets: EBITDA / total assets increases risk for this company. Contribution=0.002
- Long-term liabilities / equity: Long-term liabilities / equity increases risk for this company. Contribution=0.001

Mitigating Factors
- Attr27_missing: Attr27_missing reduces risk for this company. Contribution=-0.007
- Current assets - inventory / short-term liabilities: Current assets - inventory / short-term liabilities reduces risk for this company. Contribution=-0.007
- Total costs / total sales: Total costs / total sales reduces risk for this company. Contribution=-0.006
- Profit on operating activities / financial expenses: Profit on operating activities / financial expenses reduces risk for this company. Contribution=-0.005
- Total liabilities / operating profit + depreciation: Total liabilities / operating profit + depreciation reduces risk for this company. Contribution=-0.004

Due Diligence Questions
- What business event explains the unfavorable movement in working capital?
- Is working capital consistent with peer companies and prior-year performance?
- What business event explains the unfavorable movement in operating expenses / short-term liabilities?
- Is operating expenses / short-term liabilities consistent with peer companies and prior-year performance?
- What business event explains the unfavorable movement in logarithm of total assets?
- Is logarithm of total assets consistent with peer companies and prior-year performance?
- What business event explains the unfavorable movement in ebitda / total assets?

- Is ebitda / total assets consistent with peer companies and prior-year performance?

Analyst Note

RiskLens AI is a prioritization aid. It does not replace investment judgment, quality of earnings work, legal review, management interviews, or investment committee approval.